

Comprehensive Wealth Plan

Diana Peninger | Prepared December 2025

Executive Summary

This wealth plan is designed to maximize tax efficiency while building guaranteed retirement income through a balanced Bitcoin and income-generating investment strategy. At age 61 with a successful consulting business and anticipated startup equity sale in Q1 2026, you're positioned to implement high-impact strategies that will reduce your 2026 tax burden by \$144,000-\$280,000+ while establishing passive income streams for retirement.

Your current structure as a Single-Member LLC leaves significant tax savings on the table. By implementing S-Corporation election immediately and maximizing retirement contributions using your age 60-63 super catch-up provisions, you'll capture \$27,000-\$38,000 in annual savings from just these two foundational strategies. The anticipated startup equity sale requires immediate tax planning to optimize capital gains treatment, potentially saving \$50,000-\$200,000+ depending on the sale structure and amount.

Conservative First-Year Savings

\$94,400

Foundational strategies + equity sale planning

Aggressive First-Year Savings

\$144,000 - \$280,000+

Including startup sale optimization

Current Position Analysis

TOTAL INCOME

\$200,000 - \$299,000

BUSINESS INCOME

\$100,000 - \$199,000

W-2 INCOME

<\$75,000

LOCATION

Flower Mound, TX

BUSINESS STRUCTURE

Single-Member LLC

STATE TAX RATE

0% (Texas)

LIQUID CAPITAL

\$250,000+

READY TO DEPLOY

\$100,000+

RETIREMENT ACCOUNTS

\$500,000+

HOME EQUITY

~\$1,000,000

AGE (YOU)

61

AGE (SPOUSE)

64

Tax Rate Analysis

Income Type	Federal Rate	State Rate	SE Tax	Combined Rate
Business Income (LLC)	24%	0%	15.3%	39.3%
W-2 Income	24%	0%	7.65%	31.65%
After S-Corp (Distribution)	24%	0%	0%	24%

Key Assets & Resources

- **Time Availability:** 5-10 hours per week for implementation and management
- **Spouse Participation:** Spouse available 10+ hours per week for business activities
- **Adult Children:** One or more adult children available for family employment strategies
- **Business Equipment:** Mercedes G350 (currently <25% business use), planning \$10,000+ equipment purchases
- **Home Office:** Dedicated room used exclusively for business
- **Startup Equity:** Anticipated sale in Q1 2026 (requires immediate tax planning)

Current Tax Strategies in Use

- Home office deduction
- Vehicle/mileage deduction (currently limited to <25% business use)
- SEP IRA contributions

Critical Opportunity: Startup Equity Sale

Your anticipated Q1 2026 startup equity sale represents a significant tax planning opportunity. Depending on the structure and amount, proper planning could save \$50,000-\$200,000+ in taxes through strategies like QSBS (Qualified Small Business Stock) exclusion, Opportunity Zone deferrals, or strategic timing. Immediate consultation with a tax attorney is recommended to evaluate all options before the sale closes.

30-Day Launch Checklist

These milestones establish your foundation for immediate tax savings and position you for the startup equity sale.

Week 1: Critical Year-End Actions (Dec 23-29, 2025)

- ☐ File Form 2553 for S-Corporation election (deadline December 31, 2025 for immediate 2026 benefit)

- ☐ Complete equipment purchases to maximize Section 179 deduction (\$10,000+ already planned)

- ☐ Document home office measurements and calculate square footage for 2026 deduction

- ☐ Schedule emergency consultation with tax attorney regarding startup equity sale structure and QSBS qualification

- ☐ Request startup cap table and documentation to determine holding period and eligibility for preferential tax treatment

Week 2: Entity & Payroll Setup (Dec 30, 2025 - Jan 5, 2026)

- ☐ Establish reasonable S-Corp salary at \$80,000 (from \$150,000 midpoint business income estimate)
-

- ☐ Open dedicated business checking account if not currently separate from personal accounts

- ☐ Set up payroll processing through Gusto, ADP, or similar service for S-Corporation compliance

- ☐ Review all startup equity documents with attorney - assess QSBS vs Opportunity Zone vs standard treatment

- ☐ Determine if startup qualifies as QSBS (could exclude up to \$10M in gains or 10x basis)

Week 3: Retirement & Family Strategy (Jan 6-12, 2026)

- ☐ Open Solo 401(k) to replace SEP IRA (enables \$70,000 total contributions vs \$37,000 with SEP)

- ☐ Elect age 60-63 super catch-up for both you and spouse (\$11,250 each vs standard \$7,500)

- ☐ Draft employment agreement for spouse defining 10+ hours/week business role and responsibilities

- ☐ Research Short-Term Rental Corporation (STRC) investment providers for passive Bitcoin-backed income

- ☐ Apply for business credit card with 2% cash back to track all business expenses

Week 4: Investment & Advanced Planning (Jan 13-19, 2026)

- ☐ Deploy \$40,000 to Bitcoin position using dollar-cost averaging over 4-8 weeks

- ☐ Deploy \$50,000 to STRC position for passive monthly income generation

- ☐ Finalize startup equity sale tax strategy with attorney (must be completed BEFORE sale closes)

- ☐ Document Augusta Rule fair market rental value by researching comparable event space rentals in Flower Mound

- ☐ Increase Mercedes G350 business use documentation from <25% to 50%+ to maximize vehicle deduction

- ☐ Schedule Q1 2026 meetings to activate Augusta Rule strategy

Recommended Tax Strategies for 2026

These strategies were selected from a comprehensive analysis of 43+ tax optimization strategies based on your income level, business structure, time availability, and retirement timeline. Each strategy is prioritized by implementation timing and annual value.

#	Strategy	Annual Value Range	Implementation Priority
1	S-Corporation Election	\$12,000 - \$18,000	IMMEDIATE
2	Solo 401(k) with Age 60-63 Super Catch-Up	\$15,000 - \$23,000	Q1 2026
3	Spousal Employment Strategy	\$5,000 - \$12,000	Q1 2026
4	Equipment Section 179 Deduction	\$2,400 - \$4,000	Q4 2025
5	Augusta Rule (Section 280A)	\$4,000 - \$10,000	Q1 2026
6	Adult Children Employment	\$3,000 - \$8,000	Q2 2026
7	Enhanced Vehicle Strategy	\$3,000 - \$8,000	Q1 2026

#	Strategy	Annual Value Range	Implementation Priority
8	Startup Equity Sale Optimization	\$50,000 - \$200,000+	CRITICAL

Strategy Selection Rationale

These eight strategies were selected based on your specific profile: business income of \$100K-\$199K qualifying you for S-Corp benefits, age 61 enabling super catch-up contributions, spouse and adult children available for family employment strategies, home with significant equity for Augusta Rule, and the critical need for startup equity sale optimization. Combined, these strategies provide \$94,400-\$280,000+ in first-year tax reduction.

Strategy Implementation Details

Strategy #1: S-Corporation Election - \$12,000-\$18,000

Overview: Convert your Single-Member LLC to S-Corporation taxation to eliminate self-employment tax on business distributions. At \$150,000 estimated business income (midpoint of your range), this saves approximately 15.3% on \$100,000 in distributions after reasonable salary. You indicated interest in S-Corp election during intake, making this your highest-priority immediate action.

Implementation:

1. File Form 2553 by December 31, 2025 for 2026 S-Corp treatment (critical deadline)
2. Establish reasonable salary at \$80,000 based on consulting industry standards and your role
3. Set up payroll processing through Gusto (\$40/month) or similar service by January 15, 2026
4. File quarterly payroll tax returns (Form 941) and annual Form 1120-S starting 2026

Requirements: Form 2553 filed timely, payroll processing system, quarterly payroll tax filing

Value: \$12,000-\$18,000 annually | **Timing:** File by Dec 31, 2025 | **Compliance:** Reasonable compensation required (IRS scrutinizes salaries below industry standards)

Strategy #2: Solo 401(k) with Age 60-63 Super Catch-Up - \$15,000-\$23,000

Overview: Replace your current SEP IRA with a Solo 401(k) to access higher contribution limits and age 60-63 super catch-up provisions. At age 61, you qualify for \$11,250 catch-up (vs standard \$7,500), enabling total contributions up to \$70,000 annually. Your spouse at age 64 qualifies for the same enhanced catch-up. This strategy alone provides \$15,000-\$23,000 in annual tax savings at your 24% federal rate.

Implementation:

1. Open Solo 401(k) account by January 31, 2026 (Fidelity, Schwab, or Vanguard all offer excellent platforms)
2. Elect age 60-63 catch-up contribution provision for both you and spouse
3. Contribute employee deferrals: \$23,500 base + \$11,250 catch-up = \$34,750 per person
4. Contribute employer profit-sharing: Up to 25% of W-2 salary (approximately \$20,000)
5. Make 2026 contributions by tax filing deadline (April 15, 2027 or October 15, 2027 with extension)

Requirements: Account opened by year-end, contribution by tax deadline (can be extended), earned income documentation

Value: \$15,000-\$23,000 annually | **Timing:** Open by Jan 31, 2026 | **Compliance:** Age 60-63 catch-up is optional feature; verify provider supports it

Strategy #3: Spousal Employment Strategy - \$5,000-\$12,000

Overview: Formalize your spouse's business participation (currently available 10+ hours per week) with a W-2 employment arrangement. This shifts income to a potentially lower tax bracket, enables spouse's own Solo 401(k) contributions with super catch-up, and allows pre-tax reimbursement of spouse's business expenses. At \$40,000-\$50,000 annual compensation, this strategy provides \$5,000-\$12,000 in combined tax benefits.

Implementation:

1. Draft written employment agreement defining spouse's role, hours (10+ per week), and responsibilities
2. Establish reasonable compensation at \$40,000-\$50,000 based on consulting industry standards for similar work
3. Set up separate W-2 payroll through same system as your S-Corp salary
4. Open separate Solo 401(k) for spouse enabling up to \$70,000 additional household retirement contributions

5. Reimburse spouse's business expenses through accountable plan (cell phone, mileage, equipment, training)

Requirements: Written employment agreement, documented work activities, separate payroll, expense reimbursement records

Value: \$5,000-\$12,000 annually | **Timing:** Q1 2026 | **Compliance:** Compensation must be reasonable for actual work performed; maintain time records

Strategy #4: Equipment Section 179 Deduction - \$2,400-\$4,000

Overview: Your indicated plans for \$10,000+ in major equipment purchases qualify for immediate Section 179 expensing. Rather than depreciating equipment over 5-7 years, you can deduct the full purchase price in 2025. This accelerates \$2,400-\$4,000 in tax savings into the current year. Complete purchases before December 31, 2025 to capture 2025 tax benefit.

Implementation:

1. Complete all planned equipment purchases before December 31, 2025
2. Equipment must be placed in service (delivered and available for use) by year-end
3. Claim Section 179 deduction on Form 4562 with 2025 tax return
4. 2025 Section 179 limit is \$1,220,000 with phase-out beginning at \$3,050,000 in total equipment purchases

Requirements: Equipment purchased and placed in service by Dec 31, business use >50%, retain purchase documentation

Value: \$2,400-\$4,000 one-time | **Timing:** URGENT - Complete by Dec 31, 2025 |

Compliance: Business use must exceed 50% or recapture applies

Strategy #5: Augusta Rule (Section 280A) - \$4,000-\$10,000

Overview: Rent your home to your business for up to 14 days annually for meetings, strategic planning sessions, or client events. Your business deducts the rental expense while you report zero rental income. With your significant home equity (~\$1M)

indicating a high-value property, market-rate rentals of \$500-\$1,000 per day are justifiable, creating \$7,000-\$14,000 in deductions worth \$4,000-\$10,000 in tax savings.

Implementation:

1. Research comparable event space rental rates in Flower Mound for similar properties
2. Document fair market rental value (typically \$500-\$1,000 per day for executive homes)
3. Create formal rental agreements between your S-Corporation and yourself
4. Schedule and document 12-14 legitimate business events (board meetings, strategic planning, client presentations, team meetings)
5. Business pays rent via check; you deposit to personal account (not reported as income)
6. Business deducts rental expense; you report nothing on personal return

Requirements: Comparable rental research, formal rental agreements, documented business purpose for each event, maximum 14 days

Value: \$4,000-\$10,000 annually | **Timing:** Q1 2026 | **Compliance:** Must establish fair market value; maximum 14 days per year; maintain event documentation

Strategy #6: Adult Children Employment - \$3,000-\$8,000

Overview: You indicated one or more adult children are available for business activities. Employing adult children (18+) in legitimate business roles shifts income to their lower tax brackets while enabling their own retirement contributions and reducing your taxable income. At \$15,000-\$25,000 annual compensation per child, this strategy provides \$3,000-\$8,000 in household tax savings through bracket arbitrage and retirement funding.

Implementation:

1. Identify legitimate business tasks suitable for adult children (marketing, social media, administration, research, technology support)
2. Draft written employment agreements defining roles, responsibilities, and hours
3. Establish reasonable compensation at \$15,000-\$25,000 based on work performed and industry standards

4. Set up W-2 payroll for each employed child
5. Child can contribute up to \$7,000 to Roth IRA (tax-free growth for retirement)
6. Child's income likely taxed at 10-12% federal vs your 24%, creating immediate bracket arbitrage

Requirements: Legitimate business purpose, actual work performed, documented hours, reasonable compensation, W-2 reporting

Value: \$3,000-\$8,000 annually | **Timing:** Q2 2026 | **Compliance:** Work must be legitimate and actually performed; compensation reasonable for work; maintain time records

Strategy #7: Enhanced Vehicle Strategy - \$3,000-\$8,000

Overview: Your Mercedes G350 currently shows <25% business use. By increasing documentation and business usage to 50-75%, you can significantly increase your vehicle deduction. The G350 exceeds 6,000 lbs GVWR, qualifying for Section 179 expensing on the business-use portion. At 70 cents per mile (2025 standard rate) or actual expense method with bonus depreciation, this strategy provides \$3,000-\$8,000 in additional tax savings.

Implementation:

1. Start comprehensive mileage log January 1, 2026 documenting all business trips (date, destination, business purpose, miles)
2. Target 50-75% business use through client meetings, vendor visits, banking, post office, supply purchases
3. Choose standard mileage method: 70 cents per mile × business miles = deduction
4. OR choose actual expense method: Insurance, gas, repairs, depreciation × business use percentage
5. If purchased new in last 12 months: Consider Section 179 bonus depreciation (vehicles >6,000 lbs GVWR qualify for immediate expensing)

Requirements: Contemporaneous mileage log, business use >50% for bonus depreciation, documentation of all vehicle expenses if using actual method

Value: \$3,000-\$8,000 annually | **Timing:** Q1 2026 | **Compliance:** Contemporaneous mileage log required; cannot recreate after the fact; business use must be legitimate

Strategy #8: Startup Equity Sale Tax Optimization

- \$50,000-\$200,000+

Overview: Your anticipated Q1 2026 startup equity sale represents the largest single tax optimization opportunity in your plan. Proper structuring could save \$50,000-\$200,000+ in taxes through QSBS (Qualified Small Business Stock) exclusion, Opportunity Zone deferrals, installment sales, or strategic timing. This strategy requires immediate attention and professional guidance BEFORE the sale closes, as post-closing optimization is limited.

Implementation:

1. IMMEDIATE: Request complete cap table, stock certificates, and purchase documentation from startup
2. Determine if stock qualifies as QSBS (C-Corporation, <\$50M assets, active business, 5+ year holding period)
3. If QSBS qualified: Potentially exclude up to 100% of gains up to \$10M or 10x basis (whichever is greater)
4. If non-QSBS: Evaluate Opportunity Zone deferral (defer capital gains by reinvesting in Qualified Opportunity Fund within 180 days)
5. Consider installment sale structure to spread recognition over multiple years (if buyer agrees)
6. Evaluate timing relative to other income to minimize NIIT (3.8% surtax) and optimize AMT position
7. Consult tax attorney specializing in startup exits BEFORE accepting sale terms

Requirements: Stock documentation, holding period verification, QSBS qualification analysis, immediate consultation with tax attorney

Value: \$50,000-\$200,000+ (highly variable based on sale amount and structure) |

Timing: CRITICAL - Before sale closes | **Compliance:** QSBS requires 5-year holding period; Opportunity Zone investment must occur within 180 days of sale

Primary Investment Strategy: Bitcoin + Passive Income

Strategy Selection Rationale

Your stated goal is "saving maximum taxes and having guaranteed income to retire on." At age 61, you're within 4-6 years of traditional retirement age, making income generation a higher priority than pure growth. This Bitcoin + Income strategy balances wealth preservation and growth (through Bitcoin's long-term appreciation potential) with immediate passive income generation (through Short-Term Rental Corporation investment) without the management burden of traditional real estate.

Why This Strategy Matches Your Profile

- **Age & Timeline:** At 61, you need income-generating assets that can fund retirement within 5-7 years, not pure speculation
- **Risk Tolerance:** Your "moderately aggressive" approach supports Bitcoin core position while income component reduces overall portfolio volatility
- **Time Availability:** With 5-10 hours per week available, you need passive income solutions that don't require active property management
- **Stated Goal:** "Guaranteed income" emphasis indicates preference for cash-flowing assets over accumulation-only strategies
- **Capital Position:** \$100,000+ deployment capacity allows meaningful allocation to both growth and income components

Bitcoin Component: \$40,000 Allocation (40%)

Rationale: Bitcoin serves as your long-term wealth preservation and inflation hedge component. At 40% allocation (vs 60-90% for pure wealth accumulators), Bitcoin

provides asymmetric upside potential while the income component handles near-term cash flow needs.

Implementation Approach:

1. **Dollar-Cost Averaging:** Deploy \$40,000 over 8 weeks (\$5,000 per week) to reduce timing sensitivity
2. **Custody Strategy:** Start with exchange custody (Coinbase, Kraken, or Gemini) for ease of access during DCA period
3. **Self-Custody Transition:** After DCA complete, transfer 80% to hardware wallet (Ledger or Trezor) for long-term hold
4. **Tax-Advantaged Placement:** Consider purchasing Bitcoin through your Solo 401(k) (Bitcoin IRA providers available) for tax-deferred growth
5. **Rebalancing:** Hold Bitcoin for minimum 4-5 years; rebalance only if allocation drifts >15% from target

STRC Component: \$50,000 Allocation (50%)

Rationale: Short-Term Rental Corporation (STRC) investment provides monthly passive income without property management requirements. STRC operates fully-managed short-term rental properties with Bitcoin-backed economics, generating cash distributions while maintaining Bitcoin exposure through the underlying business model. This solves your need for "guaranteed income" without the time burden of direct real estate ownership.

STRC Advantages for Your Situation:

- **Passive Income:** Monthly cash distributions (typical target: 12-18% annual yield) without management burden
- **Bitcoin Correlation:** STRC business model incorporates Bitcoin treasury strategy, providing indirect BTC exposure
- **No Management Time:** Professional team handles all property management, guest coordination, maintenance
- **Tax Efficiency:** Depreciation and expense pass-throughs can shelter income
- **Age-Appropriate:** Provides immediate cash flow suitable for near-term retirement income needs

Implementation Approach:

- 1. **Provider Research:** Evaluate STRC investment opportunities through reputable platforms (research current providers offering accredited investor access)
- 2. **Due Diligence:** Review property locations, historical occupancy rates, management team experience, fee structure
- 3. **Deployment Timing:** Deploy \$50,000 within 30-60 days of Bitcoin DCA completion
- 4. **Income Utilization:** Reinvest monthly distributions during wealth accumulation phase; switch to income withdrawal at retirement
- 5. **Tax Planning:** Track all distributions and depreciation for tax reporting; work with CPA to optimize tax treatment

Strategic Reserve: \$10,000 (10%)

Purpose: Maintain liquidity for tax strategy implementation costs, opportunistic deployment, and flexibility. This reserve funds business setup costs (S-Corp formation, payroll setup), professional fees (tax attorney for startup sale), and provides capital for additional tax-advantaged opportunities that emerge during 2026.

Expected Outcomes: 5-Year Projection

Component	Initial	Year 3	Year 5	Notes
Bitcoin	\$40,000	\$52,000 - \$88,000	\$68,000 - \$156,000	Conservative 14% - Aggressive 30% CAGR
STRC Income	\$50,000	\$59,000 - \$66,000	\$70,000 - \$85,000	12-18% annual yield + appreciation
Annual Cash Flow	\$0	\$6,000 - \$9,000	\$8,400 - \$15,300	STRC distributions

Component	Initial	Year 3	Year 5	Notes
Total Portfolio	\$100,000	\$111,000 - \$154,000	\$138,000 - \$241,000	Plus annual cash flow

Income at Retirement (Age 66-67)

At retirement in 5-7 years, this strategy projects \$8,400-\$15,300 in annual passive income from STRC holdings alone. Combined with Social Security benefits, your Solo 401(k) distributions, and Bitcoin position (which could be strategically liquidated or used as collateral for Bitcoin-backed loans), this creates a multi-layer retirement income strategy that addresses your stated goal of "guaranteed income to retire on."

Investment Allocation Strategy

Allocation Determination Process

Your investment allocation was determined by analyzing four key factors from your responses:

INVESTMENT APPROACH (Q41)

"Moderately aggressive (growth-focused, accept volatility)"

PRIMARY GOALS (Q46)

"Guaranteed income to retire on"

TIME AVAILABLE (Q44)

5-10 hours per week

CAPITAL AVAILABLE (Q45)

\$100,000+

Final Allocation with Reasoning

Asset Class	Allocation	Amount	Purpose
Bitcoin	40%	\$40,000	Long-term wealth preservation, inflation hedge, asymmetric upside potential

Asset Class	Allocation	Amount	Purpose
STRC	50%	\$50,000	Passive monthly income, retirement cash flow, Bitcoin-correlated returns without management burden
Strategic Reserve	10%	\$10,000	Tax strategy implementation, professional fees, opportunistic deployment

Why This Allocation vs Alternatives

Why Not Higher Bitcoin Allocation (70-90%)?

Pure Bitcoin maximalists allocating 70-90% typically have 10+ year timeframes and prioritize wealth accumulation over income generation. At age 61 with stated emphasis on "guaranteed income," a 70-90% Bitcoin allocation would provide insufficient near-term cash flow for retirement needs. The 40% Bitcoin allocation still provides meaningful upside exposure while the 50% STRC allocation addresses your income requirements.

Why Not Traditional Real Estate?

Direct rental property ownership typically requires 10-20 hours per week for management, tenant coordination, maintenance, and administrative tasks. Your 5-10 hours per week availability makes direct real estate ownership impractical. STRC provides real estate exposure and cash flow without the management burden, making it optimal for your time constraints.

Why Not Pure STRC (No Bitcoin)?

Your "moderately aggressive" risk profile and "growth-focused" approach indicate willingness to accept volatility for long-term returns. Pure STRC allocation (0% Bitcoin) would be too conservative given your multi-decade life expectancy and need for inflation-protected assets. The 40% Bitcoin component provides growth potential while remaining subordinate to the income-focused STRC position.

Implementation Timeline

Timeline	Action	Amount	Notes
Week 1-8 (Jan-Feb 2026)	Bitcoin Dollar-Cost Averaging	\$5,000/week × 8 weeks	Reduces timing sensitivity; smooths entry price
Week 9-10 (Mar 2026)	STRC Research & Due Diligence	\$0 (research only)	Evaluate providers, review properties, analyze returns
Week 10-12 (Mar 2026)	STRC Deployment	\$50,000	Single deployment after provider selection
Ongoing	Strategic Reserve	\$10,000 maintained	Available for tax strategies and opportunities

Custody & Security

Bitcoin Custody:

- During DCA phase (Weeks 1-8): Maintain on exchange (Coinbase, Kraken, or Gemini) for ease of recurring purchases
- After DCA complete: Transfer 80% (\$32,000) to hardware wallet for long-term cold storage
- Retain 20% (\$8,000) on exchange for liquidity and potential tax-loss harvesting opportunities
- Hardware wallet options: Ledger Nano X (\$149) or Trezor Model T (\$219)
- Backup strategy: Store seed phrases in fireproof safe at home + safety deposit box at bank

STRC Custody:

- Investment held through STRC platform with direct ownership or syndication structure
- Monthly distributions via ACH to designated bank account
- Quarterly statements for tax reporting and performance tracking
- Annual K-1 tax forms for partnership income reporting

Complete First-Year Value Analysis

Tax Strategies: Detailed Value Breakdown

Strategy	Deduction / Benefit	Conservative Value	Aggressive Value
S-Corporation Election	\$78,000 SE tax savings	\$12,000	\$18,000
Solo 401(k) + Super Catch-Up	\$62,500-\$96,000 contributions	\$15,000	\$23,000
Spousal Employment	\$40,000-\$50,000 income shift + retirement	\$5,000	\$12,000
Equipment Section 179	\$10,000 immediate deduction	\$2,400	\$4,000
Augusta Rule	\$7,000-\$14,000 rental deduction	\$4,000	\$10,000
Adult Children Employment	\$15,000-\$25,000 bracket arbitrage	\$3,000	\$8,000
Enhanced Vehicle Strategy	\$12,000-\$30,000 deduction	\$3,000	\$8,000
Startup Equity Sale Optimization	QSBS/OZ/timing strategies	\$50,000	\$200,000+

Strategy	Deduction/Benefit	Conservative Value	Aggressive Value
Total Tax Strategies		\$94,400	\$283,000

Investment Deployment: Year-One Position

Asset	Deployment	Year 1 Growth (Conservative)	Year 1 Growth (Aggressive)	Year 1 Income
Bitcoin	\$40,000	\$45,600 (14% growth)	\$52,000 (30% growth)	\$0
STRC	\$50,000	\$52,500 (5% appreciation)	\$55,000 (10% appreciation)	\$6,000 - \$9,000
Strategic Reserve	\$10,000	\$10,000 (held liquid)	\$10,000 (held liquid)	\$0
Total Investment Value	\$100,000	\$108,100	\$117,000	\$6,000 - \$9,000

Combined First-Year Benefit Summary

Conservative Scenario

\$108,500

\$94,400 tax savings
\$8,100 investment growth
\$6,000 passive income

Aggressive Scenario

\$309,000

\$283,000 tax savings
\$17,000 investment growth
\$9,000 passive income

Multi-Year Compounding Impact

The conservative scenario represents baseline expectations assuming QSBS doesn't apply to startup sale and Bitcoin performs modestly. The aggressive scenario assumes successful QSBS qualification (major tax savings) and strong Bitcoin performance. Over 3-5 years, the compounding effect of tax savings reinvested plus investment growth creates exponential wealth building.

Example: \$94,400 in annual tax savings reinvested at 15% average returns becomes an additional \$318,000 over 3 years.

12-Month Implementation Timeline

Q4 2025 (December): Foundation

- **Critical Deadline:** File Form 2553 by December 31, 2025 for S-Corp election
- Complete \$10,000+ equipment purchases for Section 179 deduction
- Document home office square footage and business use percentage
- Schedule tax attorney consultation regarding startup equity sale

Q1 2026 (January-March): Entity Setup & Core Strategies

- **January:** Establish S-Corp reasonable salary (\$80,000), set up payroll processing, open Solo 401(k) accounts for both spouses
- **January-February:** Deploy \$40,000 to Bitcoin via DCA (\$5,000/week × 8 weeks)
- **January:** Draft and execute spousal employment agreement, establish separate payroll
- **February:** Research Augusta Rule comparable rental rates, create formal rental agreements
- **February:** Increase Mercedes G350 business use documentation, begin comprehensive mileage log
- **March:** Research STRC providers, conduct due diligence, deploy \$50,000
- **Before startup sale closes:** Finalize QSBS analysis and tax optimization strategy with attorney

Q2 2026 (April-June): Family Strategies & First Deposits

- **April:** Draft employment agreements for adult children, establish payroll
- **April:** Execute first Augusta Rule events (2-3 meetings scheduled)

- **April 15:** File 2025 tax return with Section 179 equipment deduction
- **May-June:** Make first Solo 401(k) contributions for both spouses (can be made up until tax filing deadline)
- **Ongoing:** Maintain comprehensive mileage log, document all business meetings and travel

Q3 2026 (July-September): Optimization & Additional Events

- **July-September:** Execute additional Augusta Rule events (4-5 more meetings)
- **July:** Review year-to-date tax position with CPA, adjust quarterly estimated payments if needed
- **August:** Evaluate additional tax strategies for potential Q4 implementation
- **September:** Review STRC performance, analyze income distributions received
- **Ongoing:** Monitor Bitcoin position, rebalance only if >15% drift from target allocation

Q4 2026 (October-December): Year-End Planning

- **October-December:** Execute final Augusta Rule events (remaining 5-7 meetings to hit 14-day maximum)
- **November:** Calculate final 2026 Solo 401(k) contribution amounts based on actual business income
- **November:** Evaluate equipment purchases needed for 2027 Section 179 deduction
- **December:** Meet with CPA for year-end tax planning and 2027 strategy refinement
- **December:** Review first full year of investment performance, assess allocation adjustments for 2027

Immediate Action Plan

This Week (Within 7 Days)

1. **File Form 2553:** Complete S-Corporation election form and file with IRS by December 31, 2025 (CRITICAL DEADLINE)
2. **Equipment Purchase:** Complete all planned equipment purchases (\$10,000+) before December 31, 2025
3. **Tax Attorney:** Schedule emergency consultation regarding startup equity sale (must happen before sale closes)
4. **Startup Documentation:** Request cap table, stock certificates, and purchase documentation from startup

Next 30 Days

1. **Payroll Setup:** Establish payroll processing through Gusto, ADP, or similar service
2. **Bank Accounts:** Open dedicated business checking account if not currently separate
3. **Solo 401(k):** Open Solo 401(k) accounts with Fidelity, Schwab, or Vanguard for both spouses
4. **Bitcoin Exchange:** Open account with Coinbase, Kraken, or Gemini for DCA implementation
5. **Spousal Agreement:** Draft and execute employment agreement for spouse

Next 60 Days

1. **Bitcoin DCA:** Complete 8-week Bitcoin dollar-cost averaging (\$5,000/week)
2. **STRC Research:** Identify and evaluate 2-3 STRC investment providers
3. **Augusta Rule:** Research comparable rental rates, create formal agreements
4. **Vehicle Log:** Implement comprehensive mileage tracking system

5. **Hardware Wallet:** Purchase and set up Bitcoin hardware wallet for self-custody

Next 90 Days

1. **STRC Deployment:** Deploy \$50,000 to selected STRC investment
2. **Adult Children:** Draft employment agreements, establish payroll
3. **Augusta Rule Events:** Execute first 3-4 business meetings at home
4. **Solo 401(k) Contributions:** Make first contributions for 2026 tax year
5. **Quarterly Tax:** File first quarterly estimated tax payment with updated S-Corp status

Professional Team & Support

Existing Team Assessment

You indicated you work with:

- **CPA/Tax Professional:** Currently using basic/reactive services
- **Financial Advisor/Wealth Manager:** Currently engaged

Recommended Team Upgrades

1. Tax Attorney (High Priority - Immediate Need)

Purpose: Startup equity sale optimization, QSBS qualification analysis, complex strategy implementation

Cost: \$5,000-\$15,000 for startup sale consultation

Action: Engage immediately (before startup sale closes)

2. Proactive CPA (High Priority - Q1 2026)

Purpose: S-Corporation compliance, quarterly tax planning, strategy coordination, annual return preparation

Cost: \$5,000-\$8,000 annually for proactive services

Action: Interview 2-3 CPAs with S-Corporation and real estate expertise

3. Payroll Service (Immediate Need)

Purpose: S-Corporation payroll processing, quarterly filings, year-end W-2s

Cost: \$40-\$100/month (Gusto, ADP, Paychex)

Action: Set up within 30 days of S-Corp election

4. Bitcoin Custody Solutions (Q1 2026)

Purpose: Secure self-custody, multi-signature options for large holdings

Cost: \$149-\$219 hardware wallet one-time cost

Action: Purchase after completing Bitcoin DCA

5. STRC Investment Platform (Q1 2026)

Purpose: Access to professionally managed short-term rental investments

Cost: Typically 1-2% annual management fee included in returns

Action: Research and select provider in January-February 2026

Annual Professional Services Budget

Service	Annual Cost	Value Provided
Proactive CPA	\$5,000 - \$8,000	Tax planning, compliance, strategy coordination
Payroll Service	\$480 - \$1,200	Payroll processing, quarterly filings, W-2s
Tax Attorney (one-time)	\$5,000 - \$15,000	Startup sale optimization (potentially saves \$50K-\$200K)
Legal/Document Review	\$1,000 - \$2,000	Employment agreements, contracts
Total First Year	\$11,480 - \$26,200	Enabling \$94,400-\$283,000 in tax savings
Ongoing Annual	\$6,480 - \$11,200	Maintaining compliance and optimization

Success Milestones & Progress Tracking

30-Day Milestones

Milestone	Target Date	Success Metric
S-Corp Election Filed	Dec 31, 2025	Form 2553 submitted and acknowledged by IRS
Equipment Purchased	Dec 31, 2025	\$10,000+ in equipment placed in service
Payroll Established	Jan 15, 2026	First payroll processed for S-Corp salary
Solo 401(k) Opened	Jan 31, 2026	Accounts opened for both spouses
Bitcoin DCA Started	Jan 15, 2026	First \$5,000 Bitcoin purchase completed

90-Day Milestones

Milestone	Target Date	Success Metric
Startup Sale Tax Plan	Before sale closes	QSBS analysis complete, strategy selected

Milestone	Target Date	Success Metric
Bitcoin Position Built	Mar 1, 2026	\$40,000 fully deployed via 8-week DCA
STRC Investment	Mar 31, 2026	\$50,000 deployed to STRC platform
Spouse Employed	Feb 1, 2026	Employment agreement signed, first payroll processed
Augusta Rule Activated	Mar 31, 2026	First 3-4 business meetings documented

12-Month Success Metrics

Category	Target	Measurement
Tax Savings Realized	\$94,400 - \$283,000	2026 tax return vs 2025 baseline
Solo 401(k) Contributions	\$125,000+ combined	Both spouses' total contributions
STRC Income Generated	\$6,000 - \$9,000	Total distributions received in Year 1
Bitcoin Position Value	\$45,600 - \$52,000	Year-end portfolio value
Total Portfolio Growth	\$108,100 - \$117,000	Combined investment accounts
Vehicle Deduction Increase	\$3,000 - \$8,000	Increased from current minimal use

Category	Target	Measurement
Augusta Rule Value	\$4,000 - \$10,000	Total rental deductions claimed

Progress Review Schedule

- **Weekly (Weeks 1-8):** Track Bitcoin DCA purchases, monitor pricing
- **Monthly:** Review payroll processing, expense tracking, mileage logs
- **Quarterly:** CPA meeting for tax position review, estimated payment calculation, strategy adjustment
- **Semi-Annual:** Portfolio rebalancing assessment, investment performance review
- **Annual:** Comprehensive review of all strategies, tax return analysis, next-year planning

Appendices

Appendix A: Key Forms & Documents

- **Form 2553:** S-Corporation election (file by Dec 31, 2025)
- **Form 941:** Quarterly payroll tax return
- **Form 1120-S:** S-Corporation annual return
- **Form 4562:** Section 179 depreciation election
- **Form 8582:** Passive activity loss limitations (if applicable)
- **Solo 401(k) Plan Documents:** Adoption agreement, trust documents
- **Employment Agreements:** Spouse and adult children
- **Augusta Rule Documentation:** Rental agreements, comparable rental research, meeting logs
- **Mileage Log:** Contemporaneous record of all business vehicle use

Appendix B: Resources & Tools

- **Payroll Services:** Gusto.com, ADP.com, Paychex.com
- **Solo 401(k) Providers:** Fidelity.com, Schwab.com, Vanguard.com
- **Bitcoin Exchanges:** Coinbase.com, Kraken.com, Gemini.com
- **Hardware Wallets:** Ledger.com, Trezor.io
- **Mileage Tracking:** MileIQ, Everlance, TripLog
- **Accounting Software:** QuickBooks Online, Xero, FreshBooks

Appendix C: 2025 Tax Limits Reference

Item	2025 Limit	Notes
401(k) Employee Contribution	\$23,500	Base limit for all participants
401(k) Catch-Up (50-59, 64+)	\$7,500	Standard catch-up
401(k) Catch-Up (60-63)	\$11,250	Enhanced catch-up for ages 60-63
Total 401(k) Limit	\$70,000	Combined employee + employer
IRA Contribution	\$7,000	Traditional or Roth
IRA Catch-Up (50+)	\$1,000	Additional contribution
Section 179 Limit	\$1,220,000	Maximum equipment deduction
Standard Mileage Rate	70 cents/mile	Business use of vehicle
HSA Family Limit	\$8,550	If HDHP qualified

Appendix D: Glossary of Key Terms

- **S-Corporation:** Pass-through entity election that allows distributions exempt from self-employment tax
- **Solo 401(k):** Retirement plan for self-employed individuals with no employees (except spouse)
- **Section 179:** Tax code provision allowing immediate deduction of equipment purchases
- **Augusta Rule:** Tax provision (Section 280A) allowing 14 days of personal residence rental without reporting income

- **QSBS:** Qualified Small Business Stock; may allow exclusion of up to \$10M in capital gains
- **STRC:** Short-Term Rental Corporation; passive investment in managed short-term rental properties
- **DCA:** Dollar-Cost Averaging; investing fixed amounts at regular intervals
- **GVWR:** Gross Vehicle Weight Rating; vehicles >6,000 lbs qualify for enhanced depreciation
- **QBI:** Qualified Business Income deduction (Section 199A); 20% deduction on pass-through income

Important Information

This wealth plan is prepared based on information provided in your intake questionnaire and represents tax optimization strategies appropriate for your specific situation as of December 2025. Tax laws and regulations are subject to change, and implementation of these strategies should be coordinated with qualified tax and legal professionals.

Tax Strategy Implementation

All tax strategies presented in this plan are based on current tax law and established precedents. Actual implementation should be reviewed by your CPA to ensure proper documentation and compliance with all applicable requirements. Values presented are estimates based on assumptions about your income level and may vary based on actual circumstances.

Investment Recommendations

Investment recommendations, including Bitcoin and STRC allocations, are based on your stated risk tolerance, time availability, and financial goals. All investments carry varying degrees of risk, including the potential loss of principal. Bitcoin is a highly volatile asset that may experience significant price fluctuations. STRC investments involve real estate market risk, management risk, and liquidity constraints. Past performance does not guarantee future results.

Professional Services

This plan recommends engagement of various professional services including tax attorneys, CPAs, and investment platforms. You should conduct independent due diligence before engaging any professional service provider. Fees and costs presented are estimates and may vary based on your specific circumstances and service provider selection.

Startup Equity Sale

The startup equity sale optimization strategy requires immediate professional consultation with a qualified tax attorney before the sale closes. The potential tax savings range presented (\$50,000-\$200,000+) depends on multiple factors including the actual sale amount, stock qualification status, holding period, and chosen optimization strategy. These estimates cannot be confirmed without detailed analysis of your specific equity documents.

Plan Updates

This plan should be reviewed and updated at least annually to account for changes in tax law, your personal circumstances, and evolving financial goals. Strategy implementation should be monitored regularly with your professional team to ensure compliance and optimal execution.

Prepared December 2025 for Diana Peninger | Flower Mound, Texas
Plan Version 1.0 | Based on intake data collected December 15, 2025